Management's Discussion and Analysis

OVERVIEW

The following is a discussion of the results of Canada Bread Company, Limited ("the Company" or "Canada Bread") for the year ended December 31, 2004. The information in this MD&A is current as at February 22, 2005, unless otherwise noted. Canada Bread is 86.9% owned by Maple Leaf Foods Inc. ("Maple Leaf").

RESULTS OF OPERATIONS

The Company recorded sales of $1.32 billion compared to $1.26 billion last year, an increase of 4%.

Operating earnings of $99.0 million represented a 57% year over year improvement before restructuring costs in 2003. Net earnings for the year increased by 87% to $66.6 million ($2.62 per share), compared to $35.6 million ($1.42 per share) in the prior year.

Net interest expense in 2004 was $6.8 million compared with $8.4 million in 2003 due to lower debt levels and lower average interest rates. The Company's average effective cost of borrowing for 2004 was 2.7% (2003: 3.2%). The Company's capital structure is discussed in more detail in Note 6 to the Consolidated Financial Statements.

The effective tax rate was 27.8% in 2004 as compared with 24.4% in 2003. The Company's tax rate is discussed in Note 12 to the Consolidated Financial Statements.

All operating earnings comparisons exclude $7.4 million of restructuring costs in the first quarter of 2003 in the Fresh Bakery. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

(In thousands of Canadian dollars except per share amounts)	2004	2003	% Change
Sales	**$ 1,318.9**	$ 1,262.8	4%
Operating earnings before restructuring costs	**99.0**	62.9	57%
Net earnings	**66.6**	35.6	87%
Total assets	**767.6**	780.0	(2%)
Net debt	**62.5**	142.1	(56%)
Earnings per share			
Basic	**2.62**	1.42	85%
Diluted	**2.57**	1.39	85%
Dividends per share	**0.24**	0.24	– %

OPERATING EARNINGS

The sales increase of 4% was primarily due to increased Fresh Bakery sales in Canada, and growth in U.K. bagel sales, offset by lower North American frozen sales, primarily as a result of conversion of U.S. sales to Canadian currency. This overall increase in sales was accomplished in spite of the effect of low carbohydrate diet trends. Although frozen sales declined for the year due to currency translation, volumes were higher than last year.

The primary drivers of better profitability in the year were significantly increased earnings from the Fresh Bakery due to sales mix, price increases that offset higher costs, and improved operating efficiencies. Although fresh bread consumption in Canada declined in 2004, the underlying trend was a move away from white bread and towards higher value premium products such as whole grains and organic breads. As the Fresh Bakery's sales mix is skewed towards these products, it benefited significantly from this trend, resulting in higher volumes and selling prices. Compounding this benefit was the continuing success of *Dempster's Stay Fresh to the Last Slice*™ white bread product launch that continued to gain market share against a backdrop of declining white bread consumption.

Further operating efficiencies were realized, particularly in Eastern Canada, due to the synergies from the combination of bakeries after the acquisition of Multi-Marques and Ben's Limited.

The Company was able to effect increases in the prices of its products in Canada that offset significant increases in costs, particularly energy and other inputs. Although some price increases were achieved in the U.S., these were not as significant, and increased costs of distribution and fuel impacted the North American frozen operations.

FRESH BAKERY
(Fresh bakery products and specialty fresh pasta and sauces)

Fresh Bakery sales for the year increased 5% to $929.5 million from $882.1 million last year. Operating earnings increased 82% to $67.2 million from $37.0 million last year. Earnings comparisons are affected by the costs of a strike in 2003 at one of the Company's distribution centers that reduced operating earnings by $7.4 million in the first nine months of 2003.

Strong sales of value-added products including whole grain, whole wheat, organic and specialty breads, and *Dempster's Stays Fresh to the Last Slice*™ bread contributed to increased margins. A national rollout of *Dempster's Healthy Way*™ Organic Bread, including *100% Stone Ground Whole Wheat* and *14 Grain*, was completed in the third quarter and a national expansion of *WholeGrains*™ bagels was completed in the fourth quarter, reflecting the Company's continuing investment in whole grain premium bakery products. The Fresh Bakery Group also improved operating performance and efficiencies in 2004, benefiting from the application of Six Sigma to reduce manufacturing and distribution costs. The performance of the Atlantic Canada bakeries contributed to improved profitability during 2004 as new management made excellent progress in resolving integration related operating issues that impacted the prior year.

The Olivieri® pasta operations made great progress in expanding North American retail and foodservice sales in 2004.

FROZEN BAKERY
(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)

Frozen Bakery sales increased 2% to $389.4 million in 2004 from $380.7 million last year. Operating earnings grew by 23% to $31.8 million from $25.9 million in 2003. The earnings growth was driven by a strong performance of the U.K. bakery, as a result of increased sales and improved margins. The North American frozen bakery business had lower sales compared to 2003 due to the effect of currency translation and operating earnings decreased marginally.

In the U.K., both operating earnings and sales increased as demand for bagels continued to grow and the Company began to export bagels from the U.K. to Europe in the latter part of 2004. The Company constructed a new bagel bakery that will commence operations in the second quarter of 2005. The new facility will increase production capacity, improve the quality of product and lower production costs. The commissioning of this $24 million bakery will allow the closure of the bakery in Peterborough, England in the first half of 2005.

The North American frozen business achieved significant growth in the foodservice market, benefiting from the shift in healthier sandwich offerings at quick service restaurants. Offsetting this were three factors. The low carb phenomenon appeared to have more impact in the U.S. which is the biggest market for our Frozen Bakery business. This resulted in weaker retail in-store bakery sales, which also tend to be more weighted toward white bread products. The second factor was the higher Canadian dollar, which resulted in a lower value of U.S. earnings when translated to Canadian dollars. The third factor was increased costs, primarily related to the supply chain.

To support sales and market growth, the Company is launching a revolutionary new line of *FroBake*® products that complement its par-baked product line and provide a superior alternative to frozen dough by offering a product that is more moist and crusty, and eliminates the need to proof the bread. *FroBake*® products will be produced on a commercial basis at the Company's bakery in Roanoke, Virginia commencing in the second quarter of 2005.

RESTRUCTURING COSTS

During the first quarter of 2003, the Company recorded $7.4 million in restructuring costs ($4.8 million after-tax) related to the closure of a London, Ontario bakery and transfer of it's production to other bakeries, increasing system capacity utilization and efficiencies due to higher throughput and lower costs. The Company reflected these restructuring costs as a separate component of operating earnings.

ACQUISITIONS

In July 2003, the Company acquired Parisco Limited of Richmond Hill, Ontario for $6.2 million. Parisco is a producer of Belgian style waffles.

In 2002, the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia, a manufacturer of premium value-added fresh bakery products. The total purchase cost of $20.6 million included $9.1 million of contingent consideration, which has been paid. The final payment of contingent consideration in the amount of $5.9 million was made in 2004.

Details of assets and liabilities acquired in these acquisitions and purchase adjustments made are set out in Note 15 to the Consolidated Financial Statements.

CASH FLOWS

Operating cash flow for the year of $142.7 million compared to $66.4 million last year. The major components of cash flow from operations were net earnings of $66.6 million, non-cash depreciation of $42.3 million and changes in non-cash working capital of $42.5 million. Included in this improvement in non-cash working capital was the $20.0 million favourable impact of an increase in the Company's accounts receivable securitization program.

Capital expenditures for the year of $69.6 million compared to $63.8 million last year. The Company owns or leases approximately 35 manufacturing facilities, and a supporting network of distribution facilities and offices. These facilities require a minimum level of maintenance spending to keep them in appropriate condition, and the Company also has a strategy of continued re-investment in technology and process in these facilities that ensures relative competitiveness and reduces the cost of production. In addition to this, the Company will further invest in incremental production capacity where warranted. Management anticipates that future capital expenditure needs can be funded by internally generated cash.

CAPITAL RESOURCES AND LIQUIDITY

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations.

Due to the stability of the industry and its successful operations, the Company has consistently generated a significant amount of operating cash. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding required for its strategic investing activities.

In January 2003, the Company issued four million shares to Maple Leaf from treasury at $26.50 per share in a private placement transaction. Proceeds from the financing of $106.0 million were used to pay down the Company's credit facility with Maple Leaf that had been incurred to finance the purchase of Maple Leaf's frozen bakery assets in 2002.

To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $251 million (2003: $277 million), of which $100 million (2003: $180 million) was utilized (including $8 million in respect of letters of credit) at December 31, 2004.

To ensure continued liquidity, the Company maintains its leverage at levels that provide access to investment grade credit.

Since the Company's primary facilities mature in 2005, the Company is planning to re-finance its revolving credit agreement within the next six months. Management is of the opinion that its cash flow and traditional sources of financing will continue to provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

The following table provides payment information as at December 31, 2004 about certain of the Company's material contractual obligtions (due by fiscal year):

(In millions of Canadian dollars)	Total	2005	2006	2007	2008	2009	After 2009
Long-term debt net of convertible	**$ 71.8**	$ 71.5	$ 0.3	$ -	$ -	$ -	$ -
Lease obligations	**53.8**	16.6	12.6	9.1	5.6	4.1	5.8
Total contractual obligations	**$ 125.6**	$ 88.1	$ 12.9	$ 9.1	$ 5.6	$ 4.1	$ 5.8

DERIVATIVES

Inherent in the food business is the exposure to market risks from changes in commodity prices (primarily wheat), interest rates and foreign exchange rates. When considered appropriate, these exposures may be managed by the use of derivative financial instruments, including interest rate swaps, currency contracts, commodity futures and options. Information on the Company's material year end derivative hedge positions is set out in Note 7 to the Consolidated Financial Statements. If the Company had not entered into these contracts, operating earnings for 2004 would have been lower by $0.5 million and interest expense would have been higher by $1.4 million.

Management hedges commodities when it determines that conditions are appropriate to mitigate risks and reduce the risk of loss from adverse changes in commodity prices. The Company attempts to closely match commodity contract terms with the underlying hedged exposure and continually measures the effectiveness of the hedge in place.

The Company enters into interest rate swaps that effectively fix a portion of the interest payment on its interest bearing debt and securitization program. At December 31, 2004, 70% (2003: 16%) of the Company's exposure to interest rate fluctuations was hedged or fixed. The Company periodically enters into foreign exchange hedges to fix certain of its foreign currency exposure.

All hedging and derivative activity is in accordance with written risk management policies that specify both the type of allowed derivatives, maximum trading exposures and the definition of allowable hedge activity.

During 2004, there were no material derivative gains or losses related to hedge ineffectiveness and no hedges were discontinued in 2004 as a result of it becoming probable that a forecasted transaction would not occur.

In general, the Company holds derivative contracts to maturity as they are matched with the underlying commodity, interest rate or foreign exchange exposure. The financial impact, should the Company terminate and settle these arrangements, is disclosed in Note 7 to the Consolidated Financial Statements. There are no other obligations or liabilities under these arrangements that may require further funding by the Company.

RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting, investor relations, engineering and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management fee of $7.0 million (2003: $6.8 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $4.6 million (2003: $3.5 million) and paid for engineering services in the amount of $1.3 million (2003: nil).

Maple Leaf Foods increased its investment in Canada Bread during the year from 84.7% to 86.6%. In January 2005, an additional 66,900 shares were purchased to increase its ownership position to 86.9%.

RISK FACTORS

The Company operates in the food processing and agricultural sectors and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position.

Food Safety and Consumer Health Risk: The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage or contamination, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its

manufacturing facilities and distribution systems. The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate the risks related to food safety.

Foreign Currencies: A significant amount of the Company's revenues and costs are either denominated in or directly linked to currencies (primarily U.S. dollars and Pounds Sterling) other than the Canadian dollar. Due to the diversity of the Company's operations, normal fluctuations in these other currencies have relatively small impacts on the Company's profitability due to (a) "natural hedges" or offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or (b) an ability to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden change in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs.

CHANGES IN ACCOUNTING POLICIES

Accounting for Asset Retirement Obligations: In March 2003, a new Canadian accounting standard, Section 3110, "Accounting for Asset Retirement Obligations" was issued. The new standard requires companies to record the fair value of an asset retirement obligation as a liability in the period in which they incur a legal obligation associated with the retirement of tangible long-lived assets that results from the acquisition, construction, development and/or normal use of the assets. Companies are also required to record a corresponding amount as an asset that is depreciated as a charge to earnings over the life of the asset. Companies were required to adopt Section 3110 for fiscal years beginning on January 1, 2004. The application of this standard did not have a material impact on the Consolidated Financial Statements of the Company.

Consolidation of Variable Interest Entities: In June 2003, a new Canadian Accounting Guideline AcG-15, "Consolidation of Variable Interest Entities" was issued. This Guideline addresses the consolidation of variable interest entities, which are entities that have insufficient equity at risk to finance their activities without additional financial support or where the holder of the equity at risk lacks the characteristics of a controlling financial interest. The Guideline also provides guidance for determining whom, if anyone should consolidate the variable interest entity. The application of this standard will not have a material impact on the Company.

Financial Instruments: In January 2004, amendments to the Canadian accounting standards Section 3860, "Financial Instruments – Presentation and Disclosure" were issued and require that obligations of a fixed amount, which can be settled at the option of the issuer by a variable number of the issuer's shares, be presented as a liability. The amendments to Section 3860 are applicable for periods beginning after November 1, 2004. The Company has included $20 million in equity related to a debt facility with Maple Leaf due to the fact that it can be settled, at the Company's option, in common shares. The adoption of the amendments to Section 3860 in 2005 will result in this balance being reclassified as debt on a retroactive basis.

Embedded Leases: In December 2004, emerging issues EIC 150, "Determining Whether an Arrangement Contains a Lease" was issued. These guidelines provide guidance to companies on how to determine whether an arrangement contains a lease of a tangible asset and is based upon whether an arrangement effectively conveys to the purchaser the right to use a tangible asset. These guidelines are effective for arrangements entered into or modified after January 1, 2005 and the Company does not expect them to have a material impact on its operations and financial condition related to current contracts.

RECENT ACCOUNTING PRONOUNCEMENTS

On January 27, 2005, the Canadian Accounting Standards Board issued three new draft guidelines that introduce new requirements for the recognition and measurement of financial instruments that are based on and similar to standards issued by the Financial Accounting Standards Board in the United States and the International Accounting Standards Board.

Comprehensive Income – ***Section 3251:*** requires that entities present comprehensive income and its components, as well as net income in its financial statements. Comprehensive income is the change in equity of an enterprise during a period from transactions and other events from non-owner sources. It includes all changes in equity during a period except those resulting from investments by and distributions to owners.

Financial Instruments – ***Section 3855:*** requires that all financial assets be classified as held for trading, held to maturity, loans and receivables or available for sale. All derivative instruments, including those that are embedded in, but not closely related to, a host contract must be classified as held for trading. Financial assets and liabilities classified as held for trading must be measured at fair value with gains and losses recognized in the periods in which they arise. Financial assets classified as held to maturity, loans and receivables, and financial liabilities not classified as held for trading must be measured at their amortized cost. Financial assets classified as available for sale are measured at fair value with gains and losses recognized in other comprehensive income until the underlying financial asset is derecognized or becomes impaired.

Hedges – ***Section 3865:*** establishes standards for when and how hedge accounting may be applied. The standard requires that hedges be designated as either fair value hedges, cash flow hedges or hedges of a net investment in a self-sustaining operation. For a fair value hedge, the gain or loss on the hedging item is recognized in earnings in the period of change together with the offsetting change attributable to the hedged risk. For a cash flow hedge, as well as a hedge of a net investment in a self-sustaining foreign operation, the effective portion of the gain or loss on the hedging item is initially reported in other comprehensive income and subsequently recognized in earnings when the hedged item affects earnings.

These three new accounting standards are effective for fiscal years beginning on or after October 1, 2006. The Company has not yet determined the impact of these new standards on its operations and financial condition.

CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's Consolidated Financial Statements requires management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require significant or complex judgment on the part of management. The following is a summary of certain accounting estimates or policies considered critical by the management of the Company.

Goodwill: Goodwill is tested for impairment annually and as part of this test the Company values its various reporting units. The Company's goodwill was tested in the second quarter of 2004 and no impairment in the value had occurred.

Trade Merchandise Allowances: The Company provides for estimated payments to customers based on various trade programs and contracts that include payments upon attainment of certain sales volumes.

Employee Benefit Plans: The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method. It is prorated on service and management's best estimate of expected plan investment performance (7.5%), salary escalation (4%), retirement ages of employees and expected health care costs. Discount rates (6%) used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities. The effect of a decrease in the assumptions on the Company's 2004 earnings, assuming no change in benefit levels and no amortization of gains or losses for the Company's plans is as follows:

	Percentage point decrease	Higher 2004 expense ($ millions)
Discount rate	0.50%	$ 0.6
Expected return on assets	0.50%	$ 0.4

ENVIRONMENT

The Company is conscious of its environmental responsibilities. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Human Resources and Corporate Governance Committees. The Company's environmental program is monitored on a regular basis by this Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent external environmental analyses. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to minimize the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

ADDITIONAL INFORMATION

Additional information, including reports, information circulars and annual information forms for Canada Bread have been filed electronically through the System for Electronic Document Analysis and Retrieval (SEDAR) and is available online at www.sedar.com, and on the Company's website at www.canadabread.ca.

QUARTERLY FINANCIAL INFORMATION

The following is a summary of unaudited quarterly financial information for the two years ended December 31, 2004 and 2003 (in thousands of dollars except per share amounts):

		1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	Total
Sales	2004	305,412	329,668	335,707	348,078	1,318,865
	2003	308,992	312,516	324,024	317,279	1,262,811
Net earnings	2004	12,549	15,799	19,048	19,252	66,648
	2003	3,318	9,183	11,301	11,831	35,633
Net earnings before restructuring costs	2004	12,549	15,799	19,048	19,252	66,648
	2003	8,120	9,183	11,301	11,831	40,435
Cash flow from operating activities	2004	28,561	32,821	32,773	48,577	142,732
	2003	(3,774)	(6,250)	28,363	48,035	66,374
Earnings per share ($)						
Basic	2004	0.49	0.62	0.75	0.76	2.62
	2003	0.14	0.36	0.44	0.47	1.42
Basic before restructuring costs	2004	0.49	0.62	0.75	0.76	2.62
	2003	0.34	0.36	0.44	0.47	1.61
Diluted	2004	0.48	0.61	0.73	0.75	2.57
	2003	0.14	0.35	0.44	0.46	1.39